

# Brazil macro: the market paid for the first round. Will it keep paying?

Research brief · thesis dated 6 October 2026 · Brazil · interest rates · the real · commodities

## MY CURRENT VIEW · NO POSITION

**Brazil's markets priced in Flávio Bolsonaro's first-round lead within a single day. I would only act after the 25 October runoff, and only if the real holds its gains.**

**1. The biggest first-day reaction in seven elections.** The dollar fell 4.55% against the real in one session, more than after the first rounds of 2014, 2018 or 2022 (2.9%–3.8%), and interest rates fell even more than the currency. The surprise: the final polls had Lula ahead, but Flávio finished first with 47.1% of valid votes to 45.0%.

**2. Rallies like this were partly reversed before.** In 2014 and 2022 the real gave back 85% and 70% of its first-day gain before the runoff; in 2018 it kept rising. After each runoff the path differed again, so the runoff result mattered more than the first day.

**3. Little good news is left to buy.** The real is at 4.9856, only 1.7% from the 4.90 that JPMorgan sees if fiscal signals turn out favourable. Buying after a move this size means paying for most of it.

### What I would do

Nothing before the runoff. From 26 October I would open a paper trade (hypothetical: no money, no execution) buying the real, but only if the dollar closes below 5.10 reals on two days in a row and the U.S. two-year yield is at or below 5.00%. That would show the rally survived the vote. Because the real is already near 4.9856, I would only treat it as a reason to review the idea again.

### What would change my mind

A close above 5.30 before any entry, a Brazilian two-year rate above 14%, or a U.S. two-year yield above 5.10%. Each would mean risk is rising.

## Key figures at the thesis date · 6 October 2026

Selic target  
**13.75%**

16 Sep 2026 · BCB

Fed target range  
**3.75–4.00%**

16 Sep 2026 · Fed

Brazil–U.S. rate gap  
**9.88 pp**

2 Oct 2026 · BCB / Fed

USD/BRL (PTAX)  
**4.9856**

5 Oct 2026 · BCB

U.S. 2-year yield  
**4.84%**

5 Oct 2026 · U.S. Treasury

Brent crude (spot)  
**\$113.96**

29 Sep 2026 · EIA / FRED

## Thesis review: the previous view, checked

On 5 October, before markets reopened, I published a first version of this view: wait for the runoff and do not pay for the first day's rally. One session later, here is what held and what I got wrong. No position was ever opened, so there is no performance to report, only reasoning to check.

| WHAT I SAID                                                                                                     | WHAT HAPPENED                                                                                                                                                                               | VERDICT          |
|-----------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| Do not pay for the first rally: no entry before 26 October, because a single session can jump past every level. | The dollar fell 4.55% to 4.9856 on the first day, through my entry level (5.10) and into my review zone (4.94–5.00). The rule's start date stopped it triggering on that move, as intended. | <b>Confirmed</b> |

| WHAT I SAID                                                                                                                             | WHAT HAPPENED                                                                                                                                                                             | VERDICT               |
|-----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
| A first-day move of about 3.3%, the average of the 2014, 2018 and 2022 elections.                                                       | It was 4.55%, the largest of the seven elections since 2002. I had judged the size from only three elections, so I underestimated it.                                                     | <b>Underestimated</b> |
| Brazil's two-year rate was 1.46 pp above the economists' path. I treated that gap as a risk premium and expected the runoff to test it. | The gap fell to +0.35 pp in one session (one year: -0.31 pp), earlier than I expected. My label was too strong: it mixes expectations and premia, and the survey still predates the vote. | <b>Partly</b>         |
| The U.S. two-year yield stays at or below 5.00%.                                                                                        | 4.83% → 4.84%. The condition held.                                                                                                                                                        | <b>Confirmed</b>      |

**What I took from it.** My levels are unchanged, because adjusting a rule after seeing the outcome would defeat its purpose. What changed is how I read them. The entry level used to ask whether the market would pay for fiscal credibility; after a move this size it asks whether the market keeps what it has already paid.

## Rates, FX and quant: what the first day tells us

**The interest-rate curve moved more than the currency.** Selic (13.75%) anchors short rates. The drop widened with maturity: 33 basis points (bp; 1 bp = 0.01 percentage points) at six months, 111 bp at two years and 137 bp at five. The curve is -0.31 pp from the economists' path at one year and 1.01 pp higher in year two (12.52% versus 11.51%). This gap mixes rate expectations and premia; the survey predates the vote. Lower breakeven inflation (5.91% → 5.27%) accounts for about 61% of the two-year decomposition; real yields fell too (7.37% → 6.97%). Breakeven inflation includes inflation-risk and liquidity premia, not just expected inflation.

| MATURITY                   | 2 OCT  | 5 OCT  | CHANGE  |
|----------------------------|--------|--------|---------|
| 6 months                   | 13.31% | 12.98% | -33 bp  |
| 1 year                     | 13.38% | 12.68% | -70 bp  |
| 2 years                    | 13.71% | 12.60% | -111 bp |
| 3 years                    | 13.98% | 12.71% | -127 bp |
| 5 years                    | 14.26% | 12.89% | -137 bp |
| 10 years                   | 14.36% | 13.00% | -136 bp |
| 1y1y forward               | 14.04% | 12.52% | -152 bp |
| Implied inflation, 2 years | 5.91%  | 5.27%  | -64 bp  |
| Real rate, 2 years         | 7.37%  | 6.97%  | -40 bp  |

**Seven elections: how first-day rallies played out.** I scaled the first trading day after each first round since 2002 by the volatility of the preceding 20 days. Among completed elections, only 2014, 2018 and 2022 had moves above 2 $\sigma$ ; 5 October 2026 (4.55%, 8.1  $\sigma$ ) exceeds all three. This measures unusual price moves, not surprises relative to polls or market expectations. In 2014 and 2022 the real gave back most of its first-day gain before the runoff; in 2018 it kept rising. After the runoff, outcomes ranged from full reversal to further rally. Three large-move cases cannot establish a reliable forecast.

| YEAR        | FIRST-DAY MOVE | SIZE, IN $\Sigma$ | REVERSED BY THE FRIDAY BEFORE THE RUNOFF | REVERSED AT THE FIRST CLOSE AFTER THE RUNOFF | FIRST SESSION AFTER THE RUNOFF |
|-------------|----------------|-------------------|------------------------------------------|----------------------------------------------|--------------------------------|
| 2002        | +1.02%         | +0.5              | below 2 $\sigma$                         | below 2 $\sigma$                             | -1.60%                         |
| 2006        | -0.55%         | -0.9              | below 2 $\sigma$                         | below 2 $\sigma$                             | +0.36%                         |
| 2010        | +0.42%         | +1.3              | below 2 $\sigma$                         | below 2 $\sigma$                             | +0.18%                         |
| <b>2014</b> | <b>-3.35%</b>  | <b>-6.3</b>       | <b>85%</b>                               | <b>149%</b>                                  | <b>+2.16%</b>                  |
| <b>2018</b> | <b>-2.87%</b>  | <b>-2.5</b>       | <b>-75%</b>                              | <b>-110%</b>                                 | <b>-1.05%</b>                  |
| <b>2022</b> | <b>-3.82%</b>  | <b>-4.2</b>       | <b>70%</b>                               | <b>28%</b>                                   | <b>-1.65%</b>                  |
| <b>2026</b> | <b>-4.55%</b>  | <b>-8.1</b>       | <b>pending</b>                           | <b>pending</b>                               | <b>pending</b>                 |

A reversal of 100% means the real is back at its pre-vote level; a negative value means the move extended. Reversal is shown only for first days above 2 $\sigma$  (2014, 2018, 2022).  $\sigma$  is the standard deviation of the 20 daily log returns before the vote. The 2026 runoff is still ahead.

**How demanding is my own rule?** The levels in my paper trade were set on 2 October, for a real at 5.2235. After the fall to 4.9856 they mean something different. I express each one as the share of the 5 October rally that would have to reverse, and compare it with a coin-flip model: a random walk starting from today's rate.

| LEVEL | RULE                                                 | SHARE OF THE RALLY REVERSED | DISTANCE FROM TODAY'S RATE | RANDOM WALK ON 26 OCTOBER, PRE-VOTE VOLATILITY | RANDOM WALK, LONG-RUN VOLATILITY |
|-------|------------------------------------------------------|-----------------------------|----------------------------|------------------------------------------------|----------------------------------|
| 5.10  | <b>Entry</b> · Two closes below, from 26 October     | 48%                         | +2.3%                      | 82% · closes below                             | 74% · closes below               |
| 5.22  | <b>Exit</b> · Two closes above, once in              | 99%                         | +4.7%                      | 3% · closes above                              | 10% · closes above               |
| 5.30  | <b>Drop the idea</b> · One close above, before entry | 132%                        | +6.3%                      | 1% · closes above                              | 4% · closes above                |

**Benchmark.** A random walk from 4.9856, using pre-vote volatility (9.1% a year) and a historical runoff-session shock (1.4% typical size), would close below 5.10 on 26 October in about 82% of cases, or 74% with long-run volatility (14.4%). These are single-close terminal probabilities, not probabilities for the full entry rule. Of the three completed elections with first days above  $2\sigma$ , two kept more than half the gain after the runoff (2018 and 2022). The price threshold alone looks weakly selective; a close above it means more than 48% of the rally has reversed.

**Volatility.** Realised volatility over the last 20 sessions is 18.8% a year, but 72% of the variance is the single jump on 5 October. A jump-robust estimate (bipower variation) gives 10.0%; the long-run level since 2003 is 14.4%. I use 9.1%, the 20 sessions before the vote, for normal day-to-day moves and treat the jump separately.

**Carry.** The Selic/Fed policy-rate ratio gives indicative carry of 0.76% a month (9.5% a year), not a quoted or executable forward return. Funding curves, currency basis and costs affect actual carry; PTAX changes exclude it. Dividing this proxy by 9.1% volatility gives 1.0; using long-run volatility gives 0.7. These ratios are not Sharpe ratios.

**If it triggers.** If the rule triggers near today's level, the position starts inside my own review zone, because the levels come from the 20 sessions to 2 October (5.0853–5.2235). I keep them unchanged and treat a trigger as a prompt to review. The distance to JPMorgan's favourable case (4.90) is 1.7%; to my exit level, 4.7% the other way.

## Commodities: Brazil sells in dollars, and the real sets the price in reais

Oil, soybeans and iron ore make up 34% of Brazil's goods exports; with coffee, sugar and maize, the six prices I can track cover 44% (UN Comtrade, 2025). Two questions: how much of the real's movement do commodity prices explain, and what does a 4.55% fall in the dollar do to what a Brazilian producer actually earns?

**Do commodity prices drive the real?** Using fixed 2025 export weights, a basket of six Brazilian commodities accounts for 28% of monthly USD/BRL return variance in sample (258 months from Jan 2005 to Jul 2026). A 10% basket rise was associated with a real about 4.0% stronger. The fit is 34% in 2005–2014 and 24% in 2015–2026. This is a contemporaneous, retrospective association, not a causal or predictive model. The remaining 72% is residual variance; the model does not identify its causes. On 5 October the dollar fell 4.55% while Brent fell 1.9%.

| BENCHMARK               | SHARE OF EXPORTS | VOLATILITY, DOLLARS | VOLATILITY, REAIS | CORRELATION WITH USD/BRL | IN DOLLARS | IN REAIS |
|-------------------------|------------------|---------------------|-------------------|--------------------------|------------|----------|
| <b>Oil (Brent)</b>      | 12.8%            | 32%                 | 29%               | −0.43                    | +20.4%     | +11.3%   |
| <b>Soybeans</b>         | 12.5%            | 20%                 | 19%               | −0.37                    | +18.1%     | +9.2%    |
| <b>Iron ore</b>         | 8.3%             | 32%                 | 32%               | −0.21                    | +0.4%      | −7.2%    |
| <b>Coffee (arabica)</b> | 4.3%             | 21%                 | 22%               | −0.23                    | +13.4%     | +4.9%    |
| <b>Sugar</b>            | 4.0%             | 26%                 | 24%               | −0.37                    | −9.5%      | −16.3%   |
| <b>Maize</b>            | 2.5%             | 22%                 | 22%               | −0.28                    | +10.8%     | +2.5%    |

Volatility is annualised from monthly log changes, 2005 to July 2026; the correlation is with monthly changes in USD/BRL. Twelve-month change of each benchmark, in dollars and in reais (Jul 2025 to Jul 2026).

**Spot and futures disagree.** The EIA's spot price for Brent was \$113.96 on 29 September, against a peak of \$130.80 on 15 September. In September, spot ran well above the futures price (about \$132 against \$109 at their peaks) because disrupted supply left buyers short of physical barrels. I read spot as a gauge of physical tightness; a hedger would look at futures.

---

**Why Brazil cares.** Crude is Brazil's largest export (12.8% of 2025 goods exports), so the oil price supports the external accounts and the real. It also feeds inflation (economists expect 5.0% for 2026, above the 4.5% ceiling of the target band) and keeps the central bank cautious. A reopening of the Strait of Hormuz would remove both supports at once.

## The paper trade and its rules

No position open · earliest entry 26 October

|                                     |                                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>What it is</b>                   | A hypothetical bet that the real strengthens against the U.S. dollar (short USD/BRL), tracked with the central bank's official daily rate (PTAX).                                                                                                                                                                                      |
| <b>The idea</b>                     | If the election reduces Brazil's fiscal risk, the real could strengthen and hold its gains. Brazil's rate advantage supports the case, but this PTAX-based paper trade does not earn or model carry.                                                                                                                                   |
| <b>Already in the price</b>         | On 5 October the real reached 4.9856 and the two-year rate 12.60%. That rate is now +0.35 pp from the economists' forecast path, and JPMorgan's favourable case (4.90) is only 1.7% below today's rate.                                                                                                                                |
| <b>Key dates</b>                    | Runoff 25 October; Fed decision 28 October; Brazil's central bank (Copom) 4 November.                                                                                                                                                                                                                                                  |
| <b>Entry</b>                        | From 26 October, the first rate published after the runoff: two daily closes in a row below 5.10, with the U.S. two-year yield at or below 5.00%. Earlier closes, including the 5 October rally, do not count.                                                                                                                         |
| <b>Drop the idea (before entry)</b> | Any close above 5.30, higher than anything in the past four months (peak 5.2235 on 2 October). The idea is dropped; I do not switch to the opposite trade.                                                                                                                                                                             |
| <b>Exit (after entry)</b>           | Two closes in a row above 5.22 (the top of the pre-vote range), or a U.S. two-year yield above 5.10%.                                                                                                                                                                                                                                  |
| <b>Review</b>                       | Around 4.94–5.00 (the pre-vote low minus the width of that range), or 4 November at the latest. At these levels I reassess the position.                                                                                                                                                                                               |
| <b>Where it stands</b>              | The real is at 4.9856, 2.3% below the entry level, so the price condition is already met and only the start date holds the rule back. The levels were set on 2 October from the 20 trading days before the vote, and I have deliberately not adjusted them, because changing a rule after seeing the outcome would defeat its purpose. |

**Main risks.** (1) The winner's fiscal plan is read as negative, whoever wins. (2) I buy after the move: most of the good news is already in the price, and long-real positioning was already high. (3) U.S. yields keep rising and pull money out of emerging markets, or oil falls sharply as Hormuz reopens, leaving less export income and room for faster Copom cuts.

## What could happen before and after 25 October

### A. The rally holds

Signals: The dollar stays below 5.10 reais through 25 October (less than 48% of the 5 October rally reversed); the two-year rate stays near 12.60%; the winner shows a credible fiscal plan.

What it would mean: The market keeps paying for fiscal credibility, but little is left to buy: I would be entering near my own review zone.

What I would do: **The rule can trigger from 26 October if the U.S. two-year yield is at or below 5.00%. I would only use that as a reason to review the idea.**

### B. The rally fades

Signals: The dollar climbs back above 5.10 reais (more than 48% of the rally reversed) before the vote or on 26 October; polls tighten.

What it would mean: The market doubts the first-round signal, as it did before the 2014 and 2022 runoffs.

What I would do: **No position. Wait for the next confirmation.**

### C. The risk premium returns

Signals: A close above 5.30 (132% of the rally reversed); the two-year rate rises above 14%; breakeven inflation climbs back toward 5.91%.

What it would mean: Fiscal worries dominate again; a weaker real plus expensive oil could make the central bank pause its cuts.

What I would do: **Drop the idea. A dollar trade would need new rules.**

### D. Outside shock: U.S. rates or oil

Signals: The U.S. two-year yield rises above 5.10%, or Brent falls sharply as Hormuz reopens.

What it would mean: Emerging-market currencies tend to weaken together; cheaper oil removes a support.

What I would do: **No long-real position; exit if already in one.**

**Dates that matter.** 25 Oct: Presidential runoff · 28 Oct: Fed decision · 4 Nov: Copom decision · 9 Dec: Fed and Copom decisions

## Limits

PTAX is a reference rate, not a tradable price; costs, spreads and position size are not modelled. ANBIMA's curve is saved at 2 and 5 October for this thesis and does not refresh; ANBIMA keeps only the most recent weeks online. Market-close figures for 5 October (Ibovespa, DI futures, spot dollar, Brent, Petrobras) are press-reported from the live session. The count of the first round was 99.5% complete, so shares may still move. Focus is a survey predating the vote. The curve-survey gap mixes rate expectations and premia; breakeven inflation also contains inflation-risk and liquidity premia. No election probabilities are assigned. The rules are not back-tested; the first-round study has only three completed moves above 2σ. Random-walk percentages concern one close, not full-rule activation.

## Sources

ANBIMA · Term structure of interest rates (ETTJ), 2 and 5 Oct 2026 · 5 Oct 2026

BCB · Focus market expectations (open-data API) · 25 Sep 2026

BCB · PTAX exchange rates (open-data API) · 2 Oct 2026

Calculated · Selic target minus the Fed target-range midpoint · 1 Oct 2026

Datafolha poll, 3 Oct 2026, via G1 · 3 Oct 2026

EIA · Today in Energy: Brent futures and spot prices, third quarter 2026 · 5 Oct 2026

Federal Reserve · FOMC statement of 16 Sep 2026 · 16 Sep 2026

IMF via FRED · Global iron-ore price (PIORECRUSD) · 1 Jul 2026

IMF via FRED · Monthly benchmarks: Brent, coffee (arabica), maize · 1 Jul 2026

InfoMoney · JPMorgan dollar scenarios (28 Sep) · 28 Sep 2026

Notícias Agrícolas · Hedgepoint on the 2026/27 sugar-ethanol mix (19 May 2026) · 19 May 2026

Senate Independent Fiscal Institution (IFI) · Assessment of the 2027 budget bill · 17 Sep 2026

U.S. Treasury · Daily par yield curve rates · 2 Oct 2026

BCB · 2026 Copom meeting calendar · 24 Sep 2026

BCB · Minutes of the 281st Copom meeting (decision of 16 Sep, published 22 Sep) · 22 Sep 2026

CNN Brasil · Market close, 5 Oct 2026 (dollar, Ibovespa, DI futures, Brent) · 5 Oct 2026

CanaOnline · Bioagência on the 2026/27 ethanol outlook (17 Jun 2026) · 17 Jun 2026

EIA via FRED · Brent crude spot price (DCOILBRETEU) · 29 Sep 2026

Federal Reserve · FOMC meeting calendar · 24 Sep 2026

Federal Reserve · Summary of Economic Projections, 16 Sep 2026 · 16 Sep 2026

IMF via FRED · Global soybean price, monthly (PSOYBUSDM) · 1 Jul 2026

IMF via FRED · Sugar No. 11 world price (PSUGAISAUSD) · 1 Jul 2026

New York Fed · Effective federal funds rate and target range · 1 Oct 2026

Quaest poll, 2–3 Oct 2026, via G1 · 3 Oct 2026

TSE · First-round results, president · 4 Oct 2026

UN Comtrade · Brazil's goods exports to the world, HS 4-digit, 2025 · 6 Oct 2026

The full evidence list, data status and calculations are on the website: [brasilmacro.streamlit.app/?lang=en](https://brasilmacro.streamlit.app/?lang=en) · [github.com/Midiansi/brazil-rates-fx-scenario-monitor](https://github.com/Midiansi/brazil-rates-fx-scenario-monitor)

Educational research, not investment advice. No real positions and no claimed performance. Thesis dated 6 October 2026; each figure shows its own date.